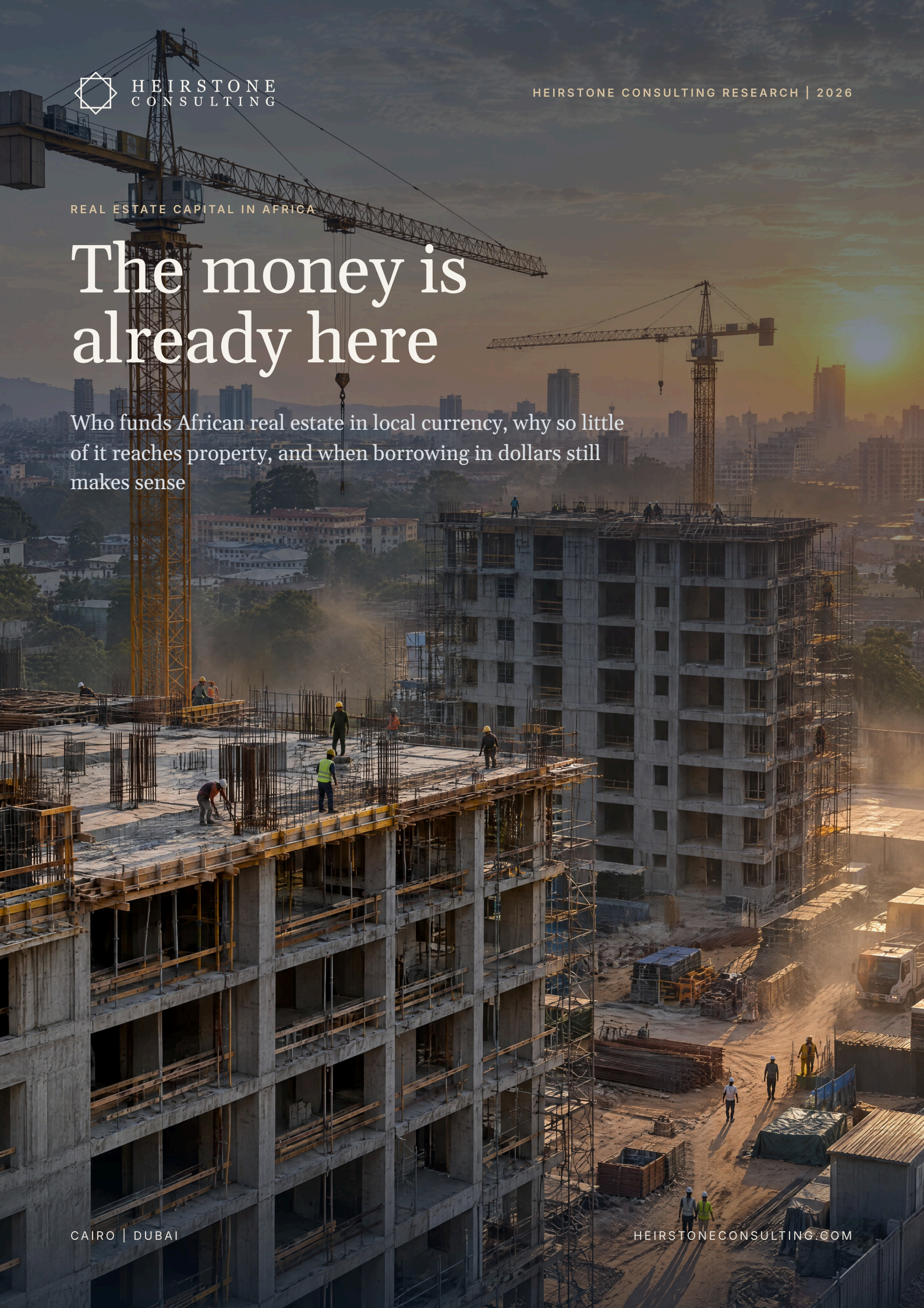
HEIRSTONE CONSULTING

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REAL ESTATE CAPITAL IN AFRICA

The money is already here

Who funds African real estate in local currency, why so little of it reaches property, and when borrowing in dollars still makes sense



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SEVEN NUMBERS

7.7x — what a US$ loan drawn in December 2015 is now owed in Ethiopian birr, against 0.95 times in CFA francs (September 2026)

US$388bn — pension, social security and insurance assets in 13 African markets with published regulator data; South Africa's PIC manages US$219.5bn of it

US$10.8bn — property headroom left unused by Nigerian, Kenyan and Ghanaian pension funds under their own investment limits, about five times what they hold

16x — Moroccan OPCI real estate funds' net assets (MAD106.9bn) relative to the market value of the country's two listed property companies

583,008 — subsidised mortgages facilitated by Egypt's Social Housing and Mortgage Finance Fund by June 2024, a fund supported by US$1bn of World Bank financing

9.04% — Kenya's 364-day Treasury bill rate in September 2026, above the 8.9% average rental yield on Nairobi offices

US$426m — currency hedges written by TCX in Sub-Saharan Africa in all of 2025, a record, and less than one Nigerian bond auction

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ABOUT THIS REPORT

This report looks at the capital that already sits inside African economies in local currency: pension and social security funds, insurers, real estate funds and REITs, mortgage lenders and refinance companies, and the development finance institutions that work alongside them. It draws on regulator, central bank, exchange and company data current in 2026. Every figure is referenced in the exhibit sources and in the notes.

Local-currency amounts are shown with a US$ equivalent at market rates of 2026 unless stated. Comparisons over time use US Treasury reporting rates. Where we combine published figures to produce a new one, the calculation is labelled Heirstone analysis and its inputs are shown.

WHAT WE FOUND

The capital for African real estate is mostly local already. What is missing is paper it can buy.

Pension, social security and insurance funds in thirteen African markets hold about US$388bn; outside South Africa, government securities take half or more of most portfolios. Owners who borrowed dollars against local income have seen their debt multiply where currencies fell hardest. Between the two lies a shortage of local-currency instruments sized and rated for institutions.

1 **A dollar loan has meant three different things since 2015.**

Four of the fourteen currencies lost 84 to 87% of their dollar value between December 2015 and September 2026, so a dollar loan against income in those currencies grew 6.3 to 7.7 times in local terms. The cedi lost 67%; the East African shillings and the rand 5 to 21%. The dirham and the CFA franc gained.

2 **The local bond market shows whether dollar debt is cheap.**

Nigeria's ten-year naira bond cleared at 16.79% in September 2026, against 8.18% on its 2036 Eurobond, which prices in 8.0% a year of depreciation; the naira price of a dollar rose 19.3% a year from 2015. Kenya prices in 2.9 to 4.5% against 2.2% realised. In the CFA franc zone the euro peg leaves tenor as the constraint.

3 **Local institutions use a fraction of their property allowance.**

Nigerian pension funds hold 1.0% of assets in REITs and other collective funds against a limit of 20 to 25%; Ghanaian private pensions 1.2% in alternatives against 25%; Kenyan schemes 8.6% in property against 30%. On our calculation the unused headroom is about US$10.8bn, five times what they hold.

4 **Government paper wins on price.**

Government securities take 52 to 63% of pension portfolios in Nigeria, Kenya and Ghana. Kenya's 364-day bill paid 9.04% in September 2026, more than the 8.9% average Nairobi office yield, and the property share of Kenyan pension portfolios fell from 11.1% to 8.6% in 2025.

5 **Where a vehicle exists, institutions fill it.**

Morocco's unlisted OPCI funds grew 85% in two and a half years to MAD106.9bn, sixteen times the listed property market. South African REITs raised more than R11.4bn of new equity in 2025, and their discount to net asset value had narrowed to 3 to 4% by February 2026.

6 **Refinancers now issue long local paper, in small amounts.**

CRRH-UEMOA placed a XOF60bn 15-year social bond at 6% net of tax in 2025. Kenya's KMRC paid 12.2% for eight-year money in 2026. In Ghana the cedi payment on the cheapest new house was 2.2 times a dollar-mortgage payment at July 2024 rates.

WHAT IT MEANS

Regulators should let rated refinancer, guaranteed housing and REIT paper count inside pension property and infrastructure limits, and publish allocations against those limits.

Pension funds and insurers should judge property against the sovereign curve over a full currency cycle, and seed vehicles in preference to building directly.

Developers should match the currency of their debt to the currency of their income, and run the break-even test before signing a dollar facility.

DFIs should spend scarce balance sheet on guarantees and swaps that bring local institutions in.

14

currencies tested against the US$ from December 2015 to September 2026

EGP472m

mortgage securitisation by Egypt's refinancer EMRC in 2023, rated AA+ to A, the first by an Egyptian refinance company

CHAPTER 1

01

The price of a dollar

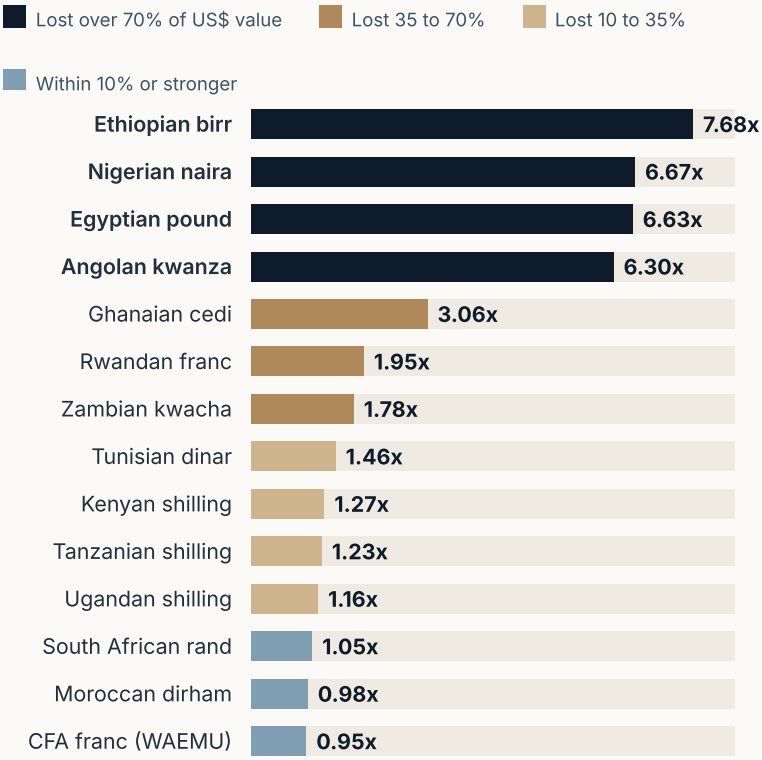
Since 2015 the cost of dollar debt on African property has depended almost entirely on which currency the asset earns in.

This chapter measures that cost for fourteen currencies, sets out a break-even test that separates them, and ends with a four-question test for any board considering a dollar facility.

EXHIBIT 1

The currency of the income decided the cost of a 2015 dollar loan: from 0.95 times in CFA francs to 7.7 times in birr

Local currency per US$ at 30 Sep 2026 divided by the rate at 31 Dec 2015: the principal of a US$ loan expressed in local currency



Source: US Treasury, Reporting Rates of Exchange (quarterly), accessed 2026. **Heirstone analysis.** Treasury rates can differ from central bank closing rates by a few percent. The CFA franc is shown at the Senegal rate and is the same for all eight WAEMU states.

The fourteen currencies fall into four groups. In four of them the multiple is between 6.3 and 7.7, each after large step changes in the exchange rate, such as Nigeria's in 2016 and after its float of June 2023, and Ethiopia's move to a market-determined rate in July 2024. Ghana, Rwanda and Zambia sit between 1.8 and 3.1. The East African shillings and the Tunisian dinar moved between 1.2 and 1.5 times, and the rand barely moved. The dirham and the CFA franc ended the period slightly stronger against the dollar than they started.

21.07 to 161.73
birr per US$, December 2015 to September 2026

198.9 to 1,326.78
naira per US$ over the same period

602.79 to 573.75
CFA francs per US$: the currency gained

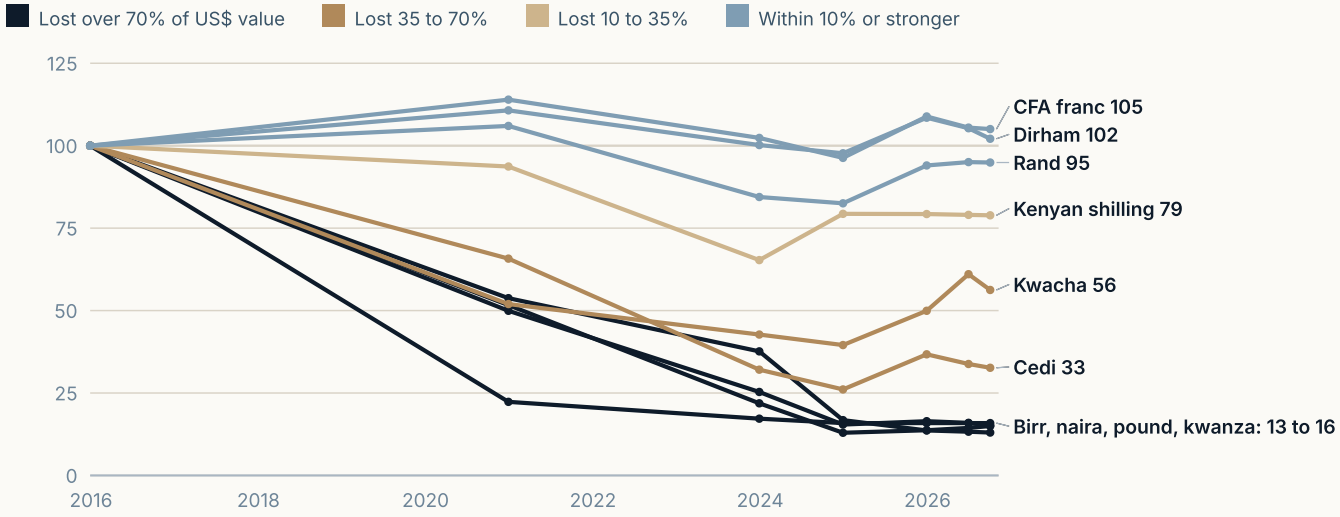
THREE PATHS

The shilling, the cedi and the kwacha have all strengthened since 2024; the anchored currencies have tracked the euro

EXHIBIT 2

Large steps, reversals and anchors: three paths since 2015

US$ value of one unit of local currency, index (31 Dec 2015 = 100), at year-ends 2015, 2020, 2023, 2024 and 2025, and at 30 Jun and 30 Sep 2026



Source: US Treasury, Reporting Rates of Exchange, accessed 2026. **Heirstone analysis.** Lines join the dates shown and do not trace movements between them; the 2016 to 2019 steps in Egypt, Nigeria and Angola fall inside the first segment. End values for Sep 2026.

The groups behave differently and need different assumptions. Currencies in the first group adjusted in large steps. The naira moved from about NGN199 to NGN321.75 between March and September 2016, from NGN440 to NGN765 around the June 2023 float, and reached NGN1,630 by September 2024. The kwanza lost 39% of its dollar value between the March and June 2023 Treasury rates alone, from AOA503 to AOA825. Egypt's float of March 2024 came with new capital: ADQ had agreed in February to invest US$35bn in Egypt, led by Ras El Hekma.

Reversal currencies have recently rewarded local borrowers. The Kenyan shilling went from KSh156.5 per US$ at the end of 2023 to KSh128.85 a year later. The cedi strengthened from GH¢15.45 to GH¢10.3 in the second quarter of 2025, and the kwacha from ZMW28.05 to ZMW19.54 between March 2025 and September 2026. The naira also firmed, from NGN1,540 at the end of 2024 to NGN1,326.78, which cut a dollar borrower's naira principal by 13.8% in under two years.

Anchored currencies turn the question into one about the euro. The CFA franc is fixed at 655.957 per euro, and the dirham trades within a band of plus or minus 5% around a basket of 60% euro and 40% dollar. Against the dollar both have moved with the euro.

US$46.58bn

net foreign direct investment into Egypt in 2024, the year of its float, against US$9.84bn in 2023 (World Bank)

-13.8%

change in the naira principal of a US$ loan from December 2024 to September 2026

655.957

CFA francs per euro, fixed

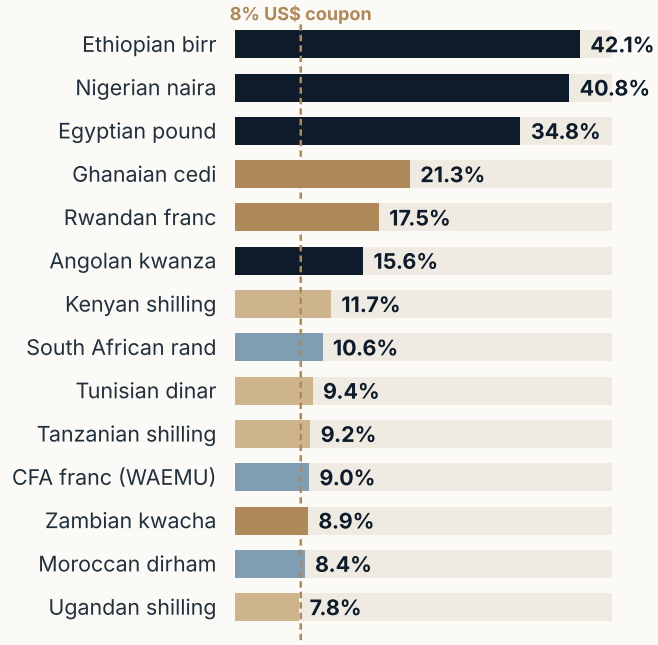
THE REALISED COST

Measured in birr or naira, a dollar loan at 8% cost its borrower more than 40% a year

EXHIBIT 3

An 8% dollar loan cost between 7.8% and 42.1% a year once repaid in local currency

Annual cost in local-currency terms of a five-year US$ bullet loan at 8%, drawn 31 Dec 2020 and repaid 31 Dec 2025



Source: US Treasury, Reporting Rates of Exchange. **Heirstone analysis:** cost = 1.08 x (rate Dec 2025 / rate Dec 2020)^(1/5) - 1. The 8% coupon is an illustrative assumption. Colours as Exhibit 1.

Exhibit 3 turns the currency moves into a borrowing cost. Take a five-year dollar loan at 8%, drawn at the end of 2020 against an asset earning local currency, and measure what it cost in that currency by the end of 2025. In birr it cost 42.1% a year and in naira 40.8%. In cedis it cost 21.3% even after the 2025 recovery.

Local borrowing was expensive too, but not that expensive. Nigeria's government paid 16.79% for ten-year naira money in September 2026; over 2020 to 2025 a naira loan at that rate would have cost well under half of the dollar loan. Egypt's Social Housing and Mortgage Finance Fund priced new middle-income mortgages at 12% from October 2024.

The result reverses in the stable currencies. In Kenya the dollar loan cost 11.7% a year in shillings, less than the 14.24% the government paid to borrow for 30 years in shillings in September 2026. In the CFA franc zone and Morocco it cost 8.4 to 9.0%, close to the dollar coupon itself.

> *A five-year dollar loan at 8% cost 40.8% a year in naira between 2020 and 2025.*

Single windows can mislead, which is why the test in the next pages compares what markets price in today with what happened over a full cycle. The window matters most in the reversal currencies: measured from the end of 2023 rather than 2020, a shilling borrower would have gained on the dollar loan.

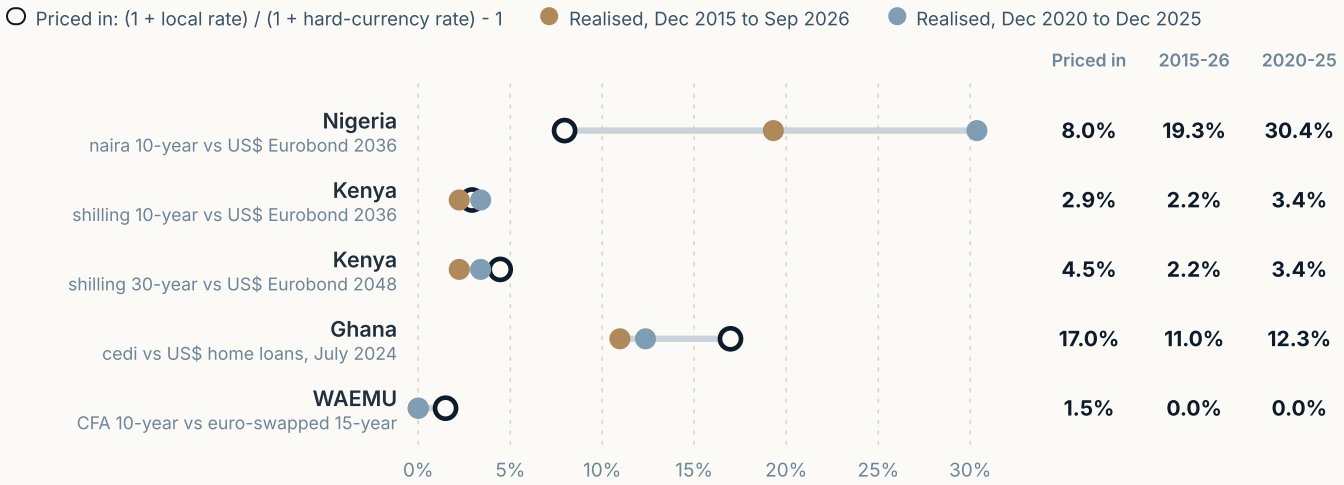
THE BREAK-EVEN TEST

What the market prices in, against what the currency did

EXHIBIT 4

Nigeria's bond market prices in far less depreciation than the naira delivered; Kenya's prices in slightly more

Annual depreciation against the hard currency: priced in by today's rate gap, and realised over two windows, % a year



MARKET	LOCAL-CURRENCY LEG	HARD-CURRENCY LEG	GAP	READING
Nigeria	FGN 16.79% Sep 2036, auction of 14 Sep 2026	Eurobond Jan 2036, 8.182%, 2 2026	8.6pp	Local debt cheaper on history
Kenya, 10 years	10-year bond 12.28%, 5 2026 (Trading Economics)	Eurobond 2036, 9.087%, 24 Sep 2026	3.2pp	Close; dollar slightly cheaper
Kenya, 30 years	FXD1/2026/030 reopening, 14.24%, 16 Sep 2026	Eurobond 2048, 9.361%, 24 Sep 2026	4.9pp	Dollar cheaper on history, unhedged
Ghana	Cedi home loans at reference rate + 8%: 29.35 to 37.35% (midpoint used)	Dollar home loans 13.5 to 14.5%	19.4pp	Dollar loan cheaper even after depreciation
WAEMU	Senegal 10-year CFA savings bond, 6.95% (2025)	Côte d'Ivoire 15-year Eurobond, 5.39% in euros after swap (Feb 2026)	1.6pp	Currency is not the issue; tenor and liquidity are

Source: Debt Management Office Nigeria (14 Sep and 2 2026); Central Bank of Kenya, Weekly Bulletin (25 Sep 2026); Trading Economics (Kenya 10-year, 5 2026); CAHF Yearbook 2024, Ghana profile (Jul 2024); Le Soleil (Sep 2025); Serrari Group and Daba Finance (Feb 2026); US Treasury. **Heirstone analysis.** Gap = local minus hard-currency rate; Ghana uses range midpoints. WAEMU compares two issuers and maturities and is indicative; its realised figure is against the euro, to which the CFA franc is pegged.

The test compares two numbers. The first is the depreciation a market prices in: the gap between what a borrower pays in local currency and in dollars for similar maturity and risk. The second is what actually happened. When the priced-in figure is below realised depreciation, local debt has been the cheaper choice. When it is above, the dollar was cheaper for anyone able to carry the risk.

Nigeria and Kenya are the only markets where we could set a local bond against the same sovereign's Eurobond on near-identical dates (Kenya's ten-year local yield is from Trading Economics), and they sit on opposite sides. Ghana's household mortgages priced in about 17% a year in July 2024, more than the 11% a year by which the cedi price of a dollar rose from 2015, so a household able to borrow in dollars would have paid less even after the fall.

In the CFA zone the currency risk against the euro is zero by design. The 1.6 point premium of Senegal's ten-year CFA bond over Côte d'Ivoire's euro-swapped Eurobond is a price for local liquidity and term. WAEMU mortgages averaged under eight years when IFC invested in the regional refinancer's 12-year bond in 2017.

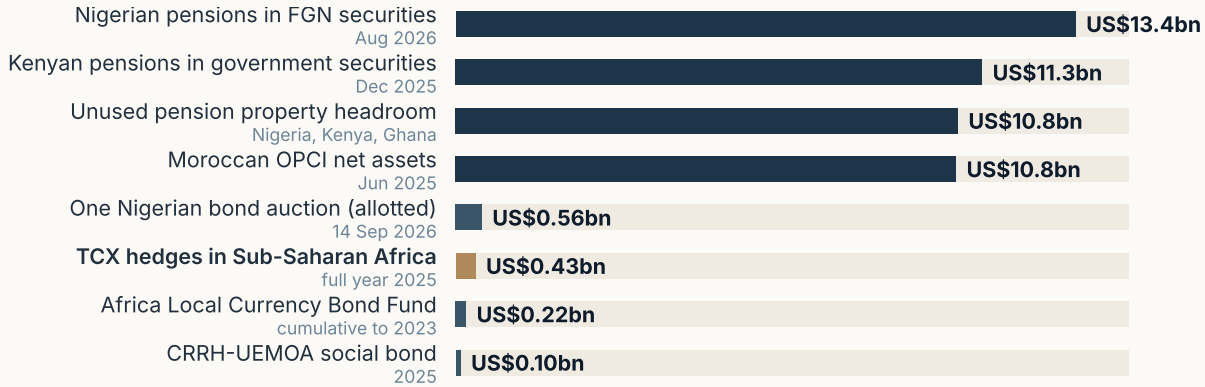
HEDGES AND THE LAW

Hedging is scarce, and in some markets a dollar rent is unlawful

EXHIBIT 5

A year of TCX hedging in Sub-Saharan Africa is smaller than one Nigerian bond auction

US$bn, latest available; local currency at 5 2026 rates (Nigerian pensions at PenCom's N1,332.44; auction at NGN1,331.28)



Source: PenCom (Aug 2026); Retirement Benefits Authority (Dec 2025); AMMC via Boursenews (May 2026); Debt Management Office Nigeria (Sep 2026); TCX (28 May 2026); IFC FIG factsheet (2023); AllAfrica and Sika Finance (2025). **Heirstone analysis** for conversions and headroom.

TCX, the currency fund backed by development finance institutions, hedged a record US$426m in Sub-Saharan Africa in 2025, out of US$2.84bn across 54 currencies worldwide. It has hedged about US$4bn in 31 African countries, according to MSME Africa. In a 2023 TCX survey, 75% of African banks hedged under a quarter of their currency exposure and only 12% thought the products on offer sufficient. TCX does not publish its prices.

Exhibit 5 puts that in proportion. At this scale hedging supports individual transactions only. The capital able to fund local-currency real estate at scale is already on local balance sheets, mostly in government paper. The law also decides which income counts as dollar income (Exhibit 6). Ghana bans dollar pricing outright, a 2023 suit in Nigeria asks the courts to stop dollar rents, and in Egypt paying in dollars from abroad lifts a cap on foreign ownership.

EXHIBIT 6

Dollar pricing of property is banned in Ghana and contested in Nigeria; in Egypt, paying in dollars lifts a foreign-ownership cap

Rules and market practice on foreign-currency pricing of real estate

MARKET	RULE OR PRACTICE	DATE
Ghana	Bank of Ghana bars pricing, advertising, receipt or payment in foreign currency for locally contracted goods and services; real estate developers named. In May 2026 the Rent Commissioner said his department and the central bank were working to stop dollar rents, with Rent Act amendments targeted by end-2026.	May 2019; May 2026
Nigeria	Suit FHC/L/CS/476/23, filed in 2023, asked the Federal High Court to declare the naira sole legal tender and stop dollar rents in Lagos, Abuja and Port Harcourt. One property platform lists Ikoyi, Victoria Island, Lekki Phase 1 and Port Harcourt GRA as dollar-priced.	Mar 2023; Jun 2026
Egypt	Decision 3562/2023 lifts the cap on the number of units foreigners may own in projects under state authorities such as NUCA when they pay in US$ transferred from abroad.	2023
Kenya	No statute found. Cytonn reports that landlords in Westlands, Kilimani and Parklands often prefer office rent in US$; the Nairobi average asking rent is KES111 per sq ft a month, about US$9.2 per sq m.	2025

Source: MyJoyOnline reporting Bank of Ghana notice (13 May 2019); Graphic Online (12 May 2026); Arise News (16 Mar 2023); OwnKey (11 Jun 2026); Ahram Online (2 Jul 2026); Cytonn, Nairobi office report 2025 (8 Mar 2026). **Heirstone analysis:** KES111 × 10.764 / 129.58.

A HEIRSTONE FRAMEWORK

The Heirstone Dollar Debt Test: four questions before signing a dollar facility

Boards often carry one currency assumption for the whole continent. The evidence in this chapter supports four questions instead, asked in order. Each has a factual answer for a given asset in a given market.

EXHIBIT 7

The Heirstone Dollar Debt Test

Questions, evidence from this report and the decision each answer points to

1	REVENUE **Is the income in dollars, and lawfully so?**	Check the lease and the law. Dollar rents are banned in Ghana, contested in Nigeria and a market practice in three Nairobi submarkets; in Egypt, foreigners paying in US$ from abroad can exceed the ownership cap.	Yes: dollar debt can be sized to dollar income. No: go to question 2.
2	REGIME **Which currency regime is the asset in?**	Anchored (CFA franc, dirham): 0.95 to 0.98x since 2015. Managed or reversing (shillings, rand, dinar): 1.05 to 1.46x. Large step changes (birr, naira, pound, kwanza): 6.3 to 7.7x; cedi 3.1x.	Anchored: borrow in the anchor currency or locally; go to question 4. Otherwise: go to question 3.
3	BREAK-EVEN **Does the local market price in less depreciation than history delivered?**	Priced-in depreciation = (1 + local rate) / (1 + dollar rate) - 1, set against realised depreciation over a full cycle. Nigeria: 8.0% against 19.3%. Kenya: 2.9 to 4.5% against 2.2%.	Well below history: borrow locally. At or above history: dollar debt can be cheaper; go to question 4.
4	HEDGE AND TENOR **Can the risk be hedged, and is local tenor long enough?**	TCX wrote US$426m in Sub-Saharan Africa in 2025, and 75% of surveyed African banks hedge under a quarter of their exposure. Local tenor reaches 15 years at CRRH-UEMOA and 30 years on Kenya's sovereign curve.	Yes: hedged dollar debt, or local debt with a refinancing plan. No: shorter local debt, refinanced through a refinancer or bond.

Source: Heirstone framework, using Exhibits 1 to 6 and the sources listed there. Currency multiples are Dec 2015 to Sep 2026 on US Treasury rates.

WHERE THE TEST LANDS TODAY

Local revenue, local debt	Test each deal	Tenor is the constraint	Local markets can lead
Nigeria, Egypt, Ghana, Rwanda, Ethiopia, Angola	Kenya, Tanzania, Uganda, Tunisia	Morocco, Côte d'Ivoire, Senegal and the rest of WAEMU	South Africa, Namibia

The test treats currency as one cost among several. Credit spreads, fees, covenants and refinancing risk also differ between a dollar and a local facility and must be priced alongside it. Market groupings follow the currency scores in the Local Capital Readiness Scorecard (Exhibit 21); Angola is grouped on its currency alone.



CHAPTER 2

02 The money at home

Thirteen African markets publish enough regulator data to size their pension, social security and insurance pools. Together they hold about US$388bn at 2026 exchange rates. South Africa's Public Investment Corporation, which manages the Government Employees Pension Fund and other state funds, accounts for R3.657trn (US$219.5bn), more than the other twelve markets combined.

The rest is smaller in dollars but large next to local property markets. Nigerian pension assets reached N31.80trn (US$23.9bn) in August 2026, held for 11.4 million retirement savings accounts. Kenyan schemes held KSh2.81trn (US$21.7bn), equal to 16% of GDP. Moroccan pension reserves of MAD327bn (US$33.0bn) and insurers' investments of MAD256.3bn (US$25.8bn) make Morocco the largest pool in North Africa on the data we could verify.

The pools are growing quickly in local currency: Ghana by 28.9% in 2025, Kenya by 24.6%, Tanzania by 21.4%, and Uganda by 21% in 2024/25. Part of that is inflation and new contributions; with government bonds making up half or more of most portfolios, part is interest.

Moroccan pension schemes paid MAD71.1bn of benefits in 2024 against MAD66.8bn of contributions, so the schemes now rely on investment income to cover payouts. Egypt's measured figure is partial: it covers private occupational funds, EGP22.9bn (US$0.44bn) in September 2025, and the investments the National Organization for Social Insurance manages directly, EGP44.2bn (US$0.85bn) in June 2024. NOSI's total reserves were not available to us in comparable form.

US$388bn

pension, social security and insurance assets in 13 markets, at 5 2026 rates

US$169bn

outside South Africa's PIC

11.4m

Nigerian retirement savings accounts, August 2026

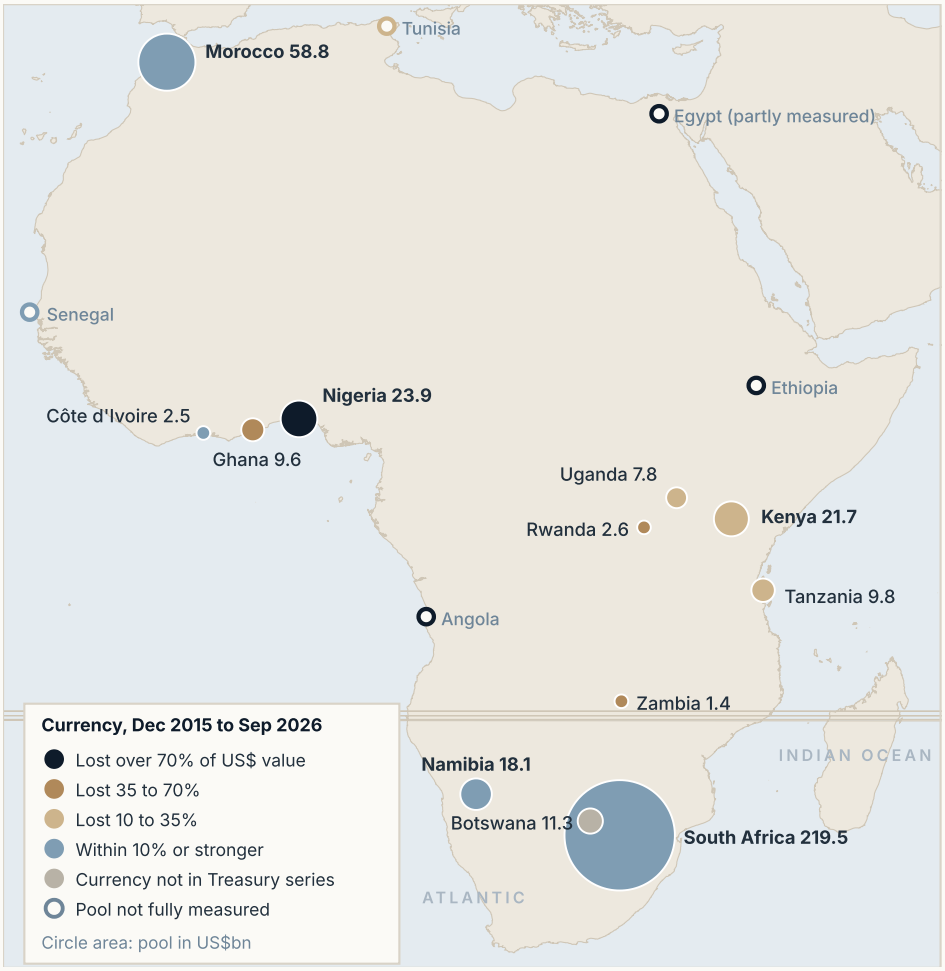
THE HEIRSTONE LOCAL CAPITAL MAP

Where the local money is, and what its currency has done since 2015

EXHIBIT 8

Five markets hold most of the pool, and three of them have currencies within 10% of their 2015 dollar value

Pension, social security and insurance assets, US$bn at 5 2026 rates (circle area); colour shows the change in the US$ value of the currency, Dec 2015 to Sep 2026



Source: Heirstone Local Capital Map 2026 from PenCom, RBA, PIC via BusinessTech, NPRA, URBRA, IPP Media, RSSB, NAMFISA via The Villager, NBFIRA via Pow Rocket Press, ACAPS, BAM, ACAPS and AMMC, FRA, Amwal Al Ghad, CNPS via Connection Ivoirienne, PIA via Lusaka Times; US Treasury. Rings: Egypt's measured US$1.3bn (private insurance funds and NOSI direct investments) is included in the total but NOSI reserves are not; no comparable data were available to us for Ethiopia, Angola, Tunisia, Senegal, Cameroon or the DRC. Namibia's dollar trades at par with the rand. Positions are financial centres, approximate.

The map combines two lenses. Circle size shows how much local institutional money a market has; colour shows how its currency has behaved against the dollar.

South Africa, Morocco and Namibia hold large pools in currencies that have held their value. Nigeria has the largest pool outside them, in a currency that lost 85% of its dollar value. Kenya sits between, with a shilling that lost 21% overall after recovering part of its 2023 fall in 2024.

The francophone pools are thin. The CNPS in Côte d'Ivoire reported a portfolio of FCFA1,438bn (US$2.5bn) for 2024, about 2.5% of GDP, against 16% for Kenyan pension assets. In the CFA zone that puts more weight on the regional refinancer and on bank deposits.

57%
of the measured pool is managed by South Africa's PIC

US$58.8bn
Moroccan pension reserves and insurers' investments combined

US$23.9bn
Nigerian pension assets, the largest pool in a currency that lost over 70%

EGP87.5bn
insurance premiums collected in Egypt in January to September 2025 (US$1.7bn), a flow outside the stocks mapped

THE HEIRSTONE LOCAL CAPITAL MAP

Each market's local-currency capital, channel by channel

EXHIBIT 9

Pensions are the largest channel in every market with data; property vehicles and refinancers are the thinnest

Latest published stock by channel; US$ at 5 2026 rates unless stated (CAHF mortgage figures at CAHF's own rates); currency change Dec 2015 to Sep 2026

MARKET	PENSIONS, SOCIAL SECURITY, INSURANCE	PROPERTY FUNDS AND REITS	MORTGAGE STOCK	REFINANCER OR STATE CHANNEL	US$ VALUE OF CURRENCY SINCE 2015
NORTH AFRICA					
Morocco	Pension reserves MAD327bn (US$33.0bn), 2024; insurers MAD256.3bn (US$25.8bn), 6.8% in real estate	OPCI net assets MAD106.9bn (US$10.8bn), Jun 2025; two listed companies MAD6.6bn	Bank housing loans MAD272.9bn (US$27.5bn), end-2025; CAHF: US$5.6bn, 3.95% of GDP (2023)	Damane Assakane guarantees MAD40bn; direct aid MAD70,000 to 100,000 per buyer	+2.1%
Egypt	Private insurance funds EGP22.9bn (US$0.44bn), Sep 2025; NOSI direct investments EGP44.2bn (US$0.85bn), Jun 2024	First digital REIF (Halan-Azimut) EGP250m (US$4.8m), 2025	US$3.5bn, 0.83% of GDP (2021); EGP29.4bn written by FRA companies, Jan to Sep 2025	SHMFF: 583,008 subsidised mortgages to Jun 2024; EMRC	-84.9%
Tunisia	n/v	n/v	US$4.4bn, 9.9% of GDP (2022)	FOPROLOS; first-home programme TND200m	-31.6%
WEST AFRICA					
Nigeria	N31.80trn (US$23.9bn), Aug 2026; 0.9% in property and REITs	Fund NAV N483bn (US$363m), Dec 2025	US$2.2bn, 0.60% of GDP (2021); 24,654 loans (2023)	NMRC: N33bn refinanced by Dec 2024; InfraCredit N416bn mobilised	-85.0%
Ghana	GH¢111.1bn (US$9.6bn), 2025; alternatives 1.2% of private schemes	n/v	US$0.57bn, 0.81% of GDP (2020)	None	-67.3%
Côte d'Ivoire	CNPS portfolio FCFA1,438bn (US$2.5bn), 2024	WAEMU OPCI rules announced; none listed	US$66m, 0.10% of GDP (2020); 696 loans	CRRH-UEMOA (AFINHAB); BADEA social housing loan	+5.1%
Senegal	n/v	None listed	US$361m, 1.54% of GDP (2019)	CRRH-UEMOA: XOF33bn authorised to BHS	+5.1%
EAST AFRICA					
Kenya	KSh2.81trn (US$21.7bn), Dec 2025; 8.6% property, 0.5% REITs	Five REITs KSh30.3bn (US$234m), Mar 2026	KSh307.2bn (US$2.4bn), Dec 2025; 1.86% of GDP (2023)	KMRC: KSh11.8bn refinanced by Jul 2024	-21.1%
Tanzania	TZS25.9trn (US$9.8bn), 2025; 15% real estate	One REIT (Watumishi), unlisted	US$238m, 0.30% of GDP (2023)	TMRC; Nyumba Bond 2026	-18.4%
Uganda	UGX30.7trn (US$7.8bn), Jun 2025	None (rules since 2017)	US$217m, 0.48% of GDP (2022)	None	-13.7%
Rwanda	RSSB RWF3.9trn (US$2.6bn); 9% real estate	None (rules 2025)	US$462m, 3.30% of GDP (2021)	World Bank-backed housing finance project	-48.8%
Ethiopia	n/v	n/v	US$420m, 0.38% of GDP (2021)	None; state bank lends at 9.5%	-87.0%
SOUTHERN AFRICA					
South Africa	PIC R3.657trn (US$219.5bn), Mar 2026; unlisted property R54bn (Dec 2024)	REITs over R350bn (US$21.0bn), Feb 2026	US$66.4bn, 17.6% of GDP (2023); 1.67m loans	Deep bank market; no refinancer	-5.1%
Namibia	N$301.7bn (US$18.1bn), Dec 2025; 50.3% held domestically	n/v	US$2.4bn, 19.7% of GDP (2023)	None; no deposit needed on first two homes	par with rand
Botswana	P158.2bn (US$11.3bn), Jun 2025	Letlole La Rona, BWP854m	US$1.0bn, 4.95% of GDP (2021)	None	n/v

Source: Heirstone Local Capital Map 2026. Pensions and insurance: as Exhibit 8. Property vehicles: AMMC, Médias24, Nairametrics (SEC data), Daily Monitor, Enterprise, Clyde & Co, Property Flash, African Financials. Mortgages: CAHF Housing Finance in Africa Yearbook 2024 (Botswana 2023), Bank Al-Maghrib via Le Matin, CBK via Business Daily, FRA. Refinancers: NMRC, KMRC, TMRC, AFINHAB, EFG Hermes, InfraCredit, Lejecos. Currency: US Treasury. n/v: not verified.

CHAPTER 3

03 Permission without product

Regulators have spent several years widening what pension funds may buy. Allocations to property have barely moved.

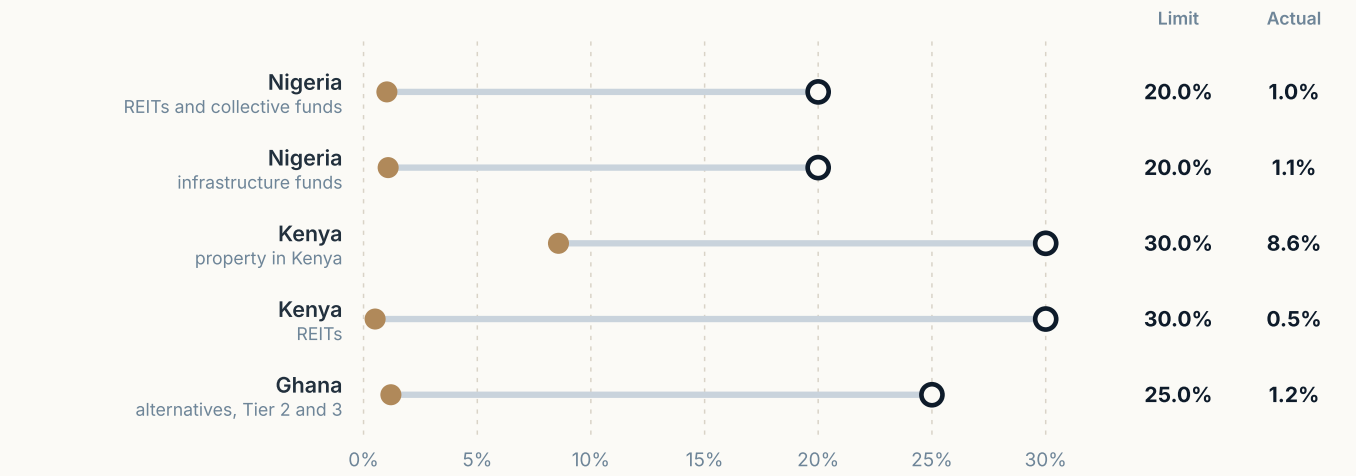
The common story is that African pension money is trapped by rules. The published data do not support it. Nigeria's September 2025 regulation quadrupled the limit for infrastructure funds in the main retirement savings fund, from 5% to 20%, and set limits of 20 to 25% for REITs and collective funds. In February 2026 PenCom raised the equity limit for the same fund from 25% to 33% after PenCom noted difficulties with the new limits. South Africa's amended Regulation 28, in force since January 2023, allows up to 45% in infrastructure and 45% in unlisted securities. According to Pow Rocket Press, citing the regulator, Botswana is raising the minimum domestic share of retirement assets from 30% to 50% by 2027.

The same Nigerian regulation also barred retirement savings account funds from holding property directly, so property now has to come to them as a fund, a REIT or a mortgage-backed security.

EXHIBIT 10

Pension funds use between 2% and 29% of the room their rules allow for property and funds

Regulatory limit and actual allocation, % of assets; Nigeria Aug 2026, Kenya Dec 2025, Ghana 2025



Source: PenCom, Revised Regulation on Investment of Pension Fund Assets (24 Sep 2025) and Monthly Industry Summary (Aug 2026); RBA, Investment Guidelines and industry data (Dec 2025); NPRA Annual Report 2025; Africa Private Equity News (Ghana 25% limit). Nigerian limits are for RSA Fund II (Fund I: 25%), applied to the whole industry, which is conservative. The collective funds bucket holds open and closed-end funds (N178.1bn) as well as REITs (N148.6bn). **Heirstone analysis** for use of limit.

None of this has moved much money into property yet. In August 2026 Nigerian pension funds held 0.4% of assets in directly held property, 0.5% in REITs and 1.1% in infrastructure funds, while federal government securities took 56.0%. Kenyan schemes held 8.6% in property and 0.5% in REITs. Their property holdings fell by KSh8.2bn in 2025 while total assets grew by KSh554bn, so the property share dropped from 11.1% to 8.6% in a single year.

Ghana tells the same story from a different start. The 2022 domestic debt exchange affected about GH¢31bn of pension holdings, according to Africa Private Equity News. In 2025 government securities fell from 72.9% to 62.6% of private pension portfolios, and the money went to bank securities, which rose from 8.6% to 15.8%, and listed shares, from 5.7% to 10.2%. Alternatives rose from 1.1% to 1.2%.

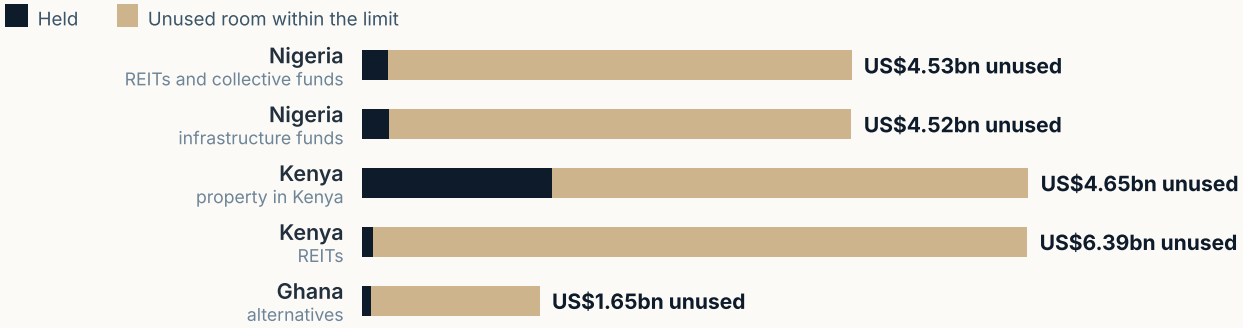
HEADROOM

The unused room is about five times what is invested, and government paper takes the money instead

EXHIBIT 11

In Nigeria, Kenya and Ghana, about US$10.8bn of property headroom sits unused

US$bn held and unused within the regulatory limit, by bucket; at 5 2026 rates (Nigeria at PenCom's N1,332.44)

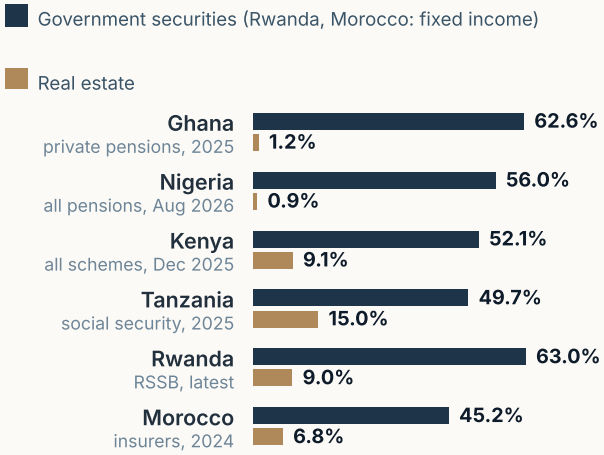


Source: As Exhibit 10; ExchangeRate-API (5 2026). **Heirstone analysis:** headroom = (limit - actual allocation) x assets. The US$10.8bn property total counts Nigeria's REIT and fund bucket, Kenya's property limit and Ghana's alternatives; Kenya's separate REIT limit would lift it to US$17.2bn. Limits apply scheme by scheme, so industry headroom is a ceiling, not a forecast of flows.

EXHIBIT 12

Government paper takes 45 to 63% of institutional portfolios; property takes 1 to 15%

Share of portfolio, %, latest year



Source: NPRA (2025); PenCom (Aug 2026); RBA (Dec 2025); IPP Media (May 2026); RSSB website (accessed 2026; date not stated, page also shows 12% for real estate); ACAPS (2024). Kenya real estate includes REITs.

Heirstone's calculation puts the unused property room in these three markets at about US$10.8bn, against about US$2.2bn actually held in the same buckets. Adding Nigeria's infrastructure bucket and Kenya's separate REIT limit, the theoretical ceiling passes US$21bn.

The reason is visible in Exhibit 12. Government securities or fixed income take 45 to 63% of the portfolios shown, and they pay well. Ugandan retirement savers were credited an average of 14.6% in 2024/25. Tanzanian social security funds earned 11.4% in 2025 against inflation of 3.6%. Nigeria's ten-year bond cleared at 16.79% in September 2026.

> *About US$10.8bn of permitted property allocation sits unused in three markets.*

The supply of property instruments that could compete is thin. Nigerian real estate funds hold N483bn of net assets, less than a tenth of what pension funds could put into the REIT and fund bucket alone. Kenya's five REITs total KSh30.3bn, about 1% of pension assets.

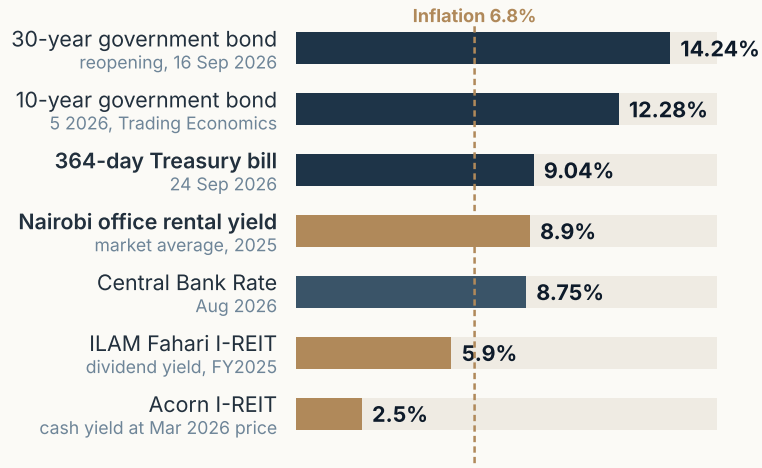
THE HURDLE

In Kenya, a one-year Treasury bill pays more than the average Nairobi office

EXHIBIT 13

Every Kenyan property income yield we could verify is below the one-year Treasury bill

Yields and rates, % a year; government (navy) and property (gold)



Source: Central Bank of Kenya, Weekly Bulletin (25 Sep 2026) and website indicators (2026); Trading Economics (10-year); Cytonn, Nairobi office report 2025 and ILAM Fahari FY2025 note; Serrari Group (Acorn price, Mar 2026) and Khusoko (distribution). **Heirstone analysis** for Acorn: KES0.57 / KES23.24.

Rental yields leave out capital growth, so Exhibit 13 understates property's total return. It is still the first comparison a trustee sees, and in Kenya the income alone does not clear the bill rate. The same arithmetic applies in Nigeria, where BusinessDay reports that REIT investors earn about 7% against a ten-year government yield of 16.79%.

Prime offices in Lagos and Cairo yield about 10% in dollar terms according to Knight Frank, which makes them dollar assets for dollar investors. For a naira pension fund that cannot hold buildings directly, they are out of reach either way.

The hurdle helps explain why the largest property allocators in East Africa are state social security funds that build for themselves.

Real estate was 15% of the TSh22.5trn invested by Tanzania's social security funds in 2025. Rwanda's RSSB reports more than 15 properties worth RWF351bn (US$237m), 9% of its assets, including the Kigali Convention Centre, Vision City, Kigali Golf Course and the 29-storey Kigali Green Complex.

Direct development gives these funds control and lets them build what the market does not supply. It also concentrates execution risk on the members' money. NSSF Tanzania's Dege Eco Village joint venture in Kigamboni has stalled since 2016, and in March 2025 the fund had still not found a buyer for it, according to The Chanzo.

A listed or unlisted vehicle with an independent manager and valuer gives a fund the exposure without the construction risk, and gives other investors a way in. That is the shelf the next two chapters examine.

15%

real estate share of Tanzanian social security funds' investments, 2025

RWF351bn

RSSB real estate, more than 15 properties (US$237m)

14.6%

average interest credited to Ugandan retirement savers, 2024/25

CHAPTER 4

04

Property funds and REITs

Africa's listed REIT market is almost entirely South African. The second-largest real estate fund system on the continent is Moroccan, unlisted, and missing from most REIT rankings.

South African REITs passed R350bn (US$21.0bn) of market value in February 2026, after returning 37.9% in the eleven months to November 2025 against 36.2% for equities and 20.9% for bonds. Average discounts to net asset value narrowed to about 3 to 4%, and the sector raised over R11.4bn of new equity in 2025. Two years earlier 48% of fund managers were underweight the sector; by early 2026 only 12% were, and 40% were overweight or neutral-to-overweight. Vukile raised a further R2.8bn in 2026.

The largest REIT shows the currency gap running in reverse. Growthpoint holds 35.8% of its assets outside South Africa, and Hyprop agreed to buy a Bulgarian shopping centre for EUR122.2m in 2026. Rand savings are buying hard-currency property while most of the continent lacks local-currency property equity.

A private sizing by Fortren & Company, reported by Nairametrics, puts African REITs at about US$30bn across 49 vehicles, with South Africa at 92% or more depending on the version. That ranking gives Morocco US$700m, which counts only its listed companies. On regulator data, Morocco's unlisted OPCI funds held MAD106.9bn (US$10.8bn) in June 2025.

> *Morocco's unlisted property funds are about 15 times the size that continental REIT rankings give the country.*

R11.4bn
new equity raised by South African REITs in 2025 (US$0.68bn)

35.8%
of Growthpoint's assets held outside South Africa (Dec 2025)



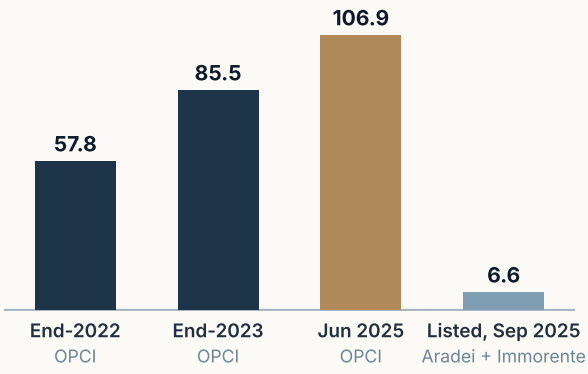
OFF-EXCHANGE

Morocco built its property fund market off-exchange; Nigeria's sits with fewer than a thousand holders

EXHIBIT 14

Moroccan OPCI net assets grew 85% in two and a half years and are 16 times the listed property market

OPCI net assets and listed property market value, MAD bn



Source: AMMC via Hespress (15 Dec 2024) and Boursenews (21 May 2026); Médias24 (22 Sep 2025). **Heirstone analysis.** Listed: Aradei Capital MAD5.8bn and Immorente Invest MAD0.846bn.

At June 2025, 58 OPCI managed by nine companies and valued by 15 appraisers held 1,817 buildings worth MAD134.6bn (US$13.6bn), with physical and financial occupancy both at 98%. Light-rule vehicles reserved for qualified investors held 93% of net assets at the end of 2023.

What the funds own says where the money comes from. Diversified OPCI hold 89.2% of net assets, and education and training buildings make up 44.5% of their portfolios. Rabat-Salé-Kénitra holds 34% of assets and Casablanca-Settat 21.1%. Aradei Capital, the larger listed company, itself holds an OPCI of 100 bank branches. The pattern points to sale-and-leaseback of institutional and corporate premises into funds owned by institutions.

That route is open to any market with large owner-occupiers and local institutional buyers, and it needs no stock exchange. Its cost is transparency: the AMMC publishes industry totals, but not who holds the units.

Nigeria shows the same pattern with less disclosure. According to Nairametrics, using SEC data, the five Nigerian REITs and real estate funds held N483.06bn (US$363m) of net assets at December 2025. Two institutionally held funds account for 89.7% of it with 896 unitholders between them, while UPDC REIT, with 211,092 holders, has 6.9%.

Pension money is arriving slowly. Nigerian pension holdings of REITs rose 168% to US$50.9m by March 2025, according to Nairametrics, and stood at N148.6bn (US$111m) in August 2026 on PenCom data. BusinessDay reports that Nigerian REITs have faced a risk of double taxation, which the new tax reform is expected to address.

Egypt has chosen a digital route. FRA Resolution 125 of 2025 created a framework for digital real estate fund platforms, and the first approval, the Halan-Azimut fund, launched with EGP250m (US$4.8m) and a target of EGP2bn, with units transferable on a digital platform rather than listed on the Egyptian Exchange. Madinet Masr has also obtained a licence for its SAFE Real Estate Investment Fund under FRA supervision, according to Invest-Gate.

EXHIBIT 15

Two institutional funds with 896 holders account for 90% of Nigeria's real estate fund assets

Net asset value and unitholders, December 2025

FUND	NAV, N BN	SHARE OF NAV	UNITHOLDERS	2025 RETURN
MOFI Real Estate Investment Fund	269.85	55.9%	45	10.2%
Nigeria REIT (Chapel Hill Denham)	163.63	33.9%	851	9.3%
UPDC REIT	33.10	6.9%	211,092	38.0%
Sector, five vehicles	483.06	100%		

Source: Nairametrics (17 Sep 2026) from SEC collective investment scheme data; Nigeria Housing Market (2026). Press sources; figures as reported. **Heirstone analysis** for shares.

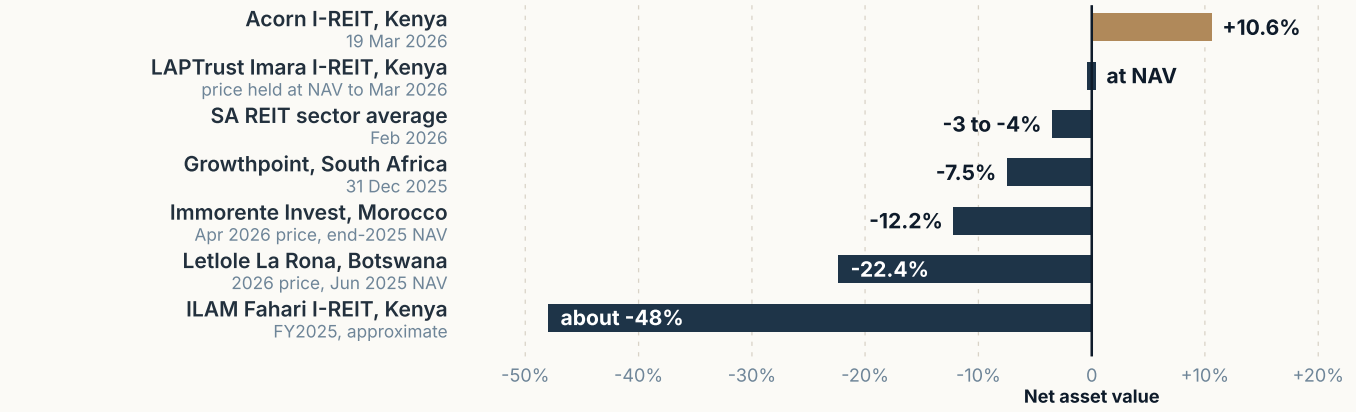
THE PRICE OF LOCAL EQUITY

Only vehicles trading near or above net asset value can raise new equity

EXHIBIT 16

From a 10.6% premium in Nairobi to a discount of about half: the market price of local property equity

Market price relative to net asset value per unit, %

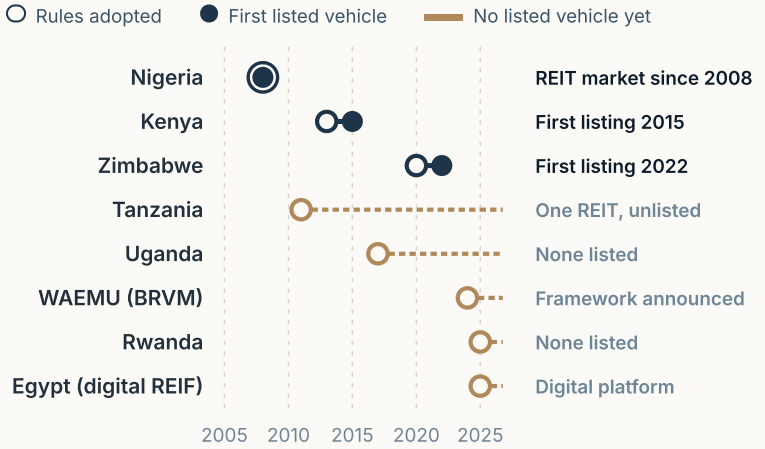


Source: Serrari Group (Acorn, Mar 2026); Business Daily Africa (Imara, 2023); Property Flash citing SA REIT Association (Feb 2026); Growthpoint HY26 results (Feb 2026); Médias24 (Apr 2026); African Financials (Letlole); Cytonn and Khusoko (Fahari). **Heirstone analysis** for Acorn, Growthpoint, Immorente, Letlole and Fahari; Acorn and Letlole inputs are from single press or data-portal sources, and Letlole's price and NAV dates differ. Fahari's NAV per unit is not published; the figure uses gross assets per unit with no debt and is approximate.

EXHIBIT 17

Five of eight recent REIT or fund regimes have no exchange-listed vehicle

Year rules were adopted and year of first listed vehicle



Source: Nairametrics (Sep 2026, Nigeria); CMA Kenya and Cytonn (Kenya); Propzone and Tigere REIT (Zimbabwe); Clyde & Co (Tanzania, 2024 and 2025); Daily Monitor (Uganda, Aug 2026); Droit Médias Finance (WAEMU); The New Times and CMA Rwanda (Jan 2026); Enterprise (Egypt, Nov 2025).

The price of a vehicle relative to its net asset value is the cost of local property equity. Acorn's student-housing I-REIT traded at a 10.6% premium in March 2026, according to Serrari Group, and South African REITs, whose discount had narrowed to 3 to 4% by February 2026, raised more than R11.4bn in 2025. At a 12% discount, Immorente could issue new shares only by diluting its holders. ILAM Fahari, Kenya's first REIT, trades at about half of asset value; it listed at KES20 in 2015, fell to KES7.1 by 2021 and moved to a restricted I-REIT in 2023, according to African Financials.

Tanzania has had REIT rules since 2011 and Uganda since 2017; neither has a listed REIT. Kenya's D-REITs need a KES5m minimum subscription, and transfers into REITs have paid stamp duty since January 2023. LAPTrust, a Kenyan pension fund, addressed the first-buyer problem by sponsoring its own I-REIT in 2023, with the price held at NAV until March 2026.



CHAPTER 5

05 Mortgages and refinancers

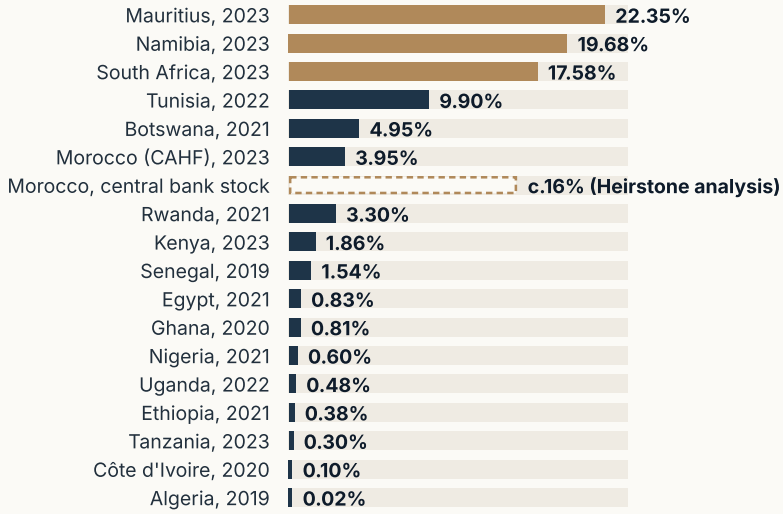
Mortgage depth in Africa splits in two. Mauritius, Namibia and South Africa have real mortgage markets, Tunisia sits near 10% of GDP, and almost everywhere else is below 5%. Côte d'Ivoire recorded 696 residential mortgages, Nigeria 24,654 and Kenya 30,015; South Africa has 1.67 million.

Morocco's figure is contested. CAHF reports US$5.57bn for 2023. Bank Al-Maghrib reports a bank housing-loan stock of MAD272.9bn (US$27.5bn) at end-2025, about five times larger, with 63,252 new borrowers in 2025 at an average 4.68%. Housing loans are 60% of household bank debt, which the central bank puts at 27% of GDP, so the bank stock is about 16% of GDP. The two series may use different definitions; we show both.

EXHIBIT 18

Three markets have mortgage books above 15% of GDP, and on central bank data Morocco may be a fourth

Residential mortgages outstanding, % of GDP, latest year published



Source: CAHF, Housing Finance in Africa Yearbook 2024 (Botswana: 2023 edition); Bank Al-Maghrib banking supervision report 2025 via Le Matin (24 Jul 2026). **Heirstone analysis** for Morocco's second bar (end-2025): bank housing loans of MAD272.9bn are 59.8% of household bank debt of MAD456.3bn, which Bank Al-Maghrib puts at 27% of GDP; 0.598 × 27% = 16.1%. Egypt: the Social Housing and Mortgage Finance Fund had also facilitated 583,008 subsidised mortgages by June 2024 (CAHF). Algeria's figure has not been checked against central bank data.

THE REFINANCERS

The refinancers now issue long local paper; their volumes are small next to the markets they serve

EXHIBIT 19

African housing refinancers now borrow for 8 to 15 years in local currency, at 6% in CFA francs and 12.2% in shillings

Selected bond and securitisation issues by mortgage refinance companies

REFINANCER	INSTRUMENT	DATE	SIZE	COUPON	TENOR	DEMAND
NIGERIA						
NMRC	Series I, FGN-guaranteed	Jul 2015	N8bn	14.9%	15y	First bond by an African refinancer
NMRC	Series III	Nov 2020	N10bn	7.2%	n/v	N32.8bn of bids
NMRC	Series 1, N440bn programme	May 2026	N11.5bn (US$8.6m)	n/d	10y	100.4% oversubscribed
EAST AFRICA						
KMRC	Green bond, amortising	May 2026	KSh3bn (US$23m)	12.2%	8y	KSh9.38bn of bids
TMRC	First corporate bond	Jun 2018	TZS12bn	n/v	5y	TZS12.52bn raised
TMRC	Nyumba Bond	2026	TZS100bn programme (press)	n/v	n/v	Results 9 Jul 2026
WAEMU AND EGYPT						
CRRH-UEMOA	Seventh bond	2017	XOF25.1bn	5.95% net	12y	IFC invested; IDA swap
CRRH-UEMOA	Social bond, first on BRVM	2025	XOF60bn (US$103m)	6% net of tax	15y	Fully placed
EMRC	Securitisation, AA+/AA/A	Sep 2023	EGP472m (US$9m)	n/v	5.75y	First by an Egyptian refinancer

Source: NMRC (bond page; press release May 2026); Nairametrics (Nov 2020); The Standard and Business Daily Africa (KMRC, 2026); The Citizen and TMRC (Tanzania); Le Petit Journal Dakar (2017); World Bank (2020); AllAfrica and Sika Finance (2025); EFG Hermes (2023). US$ at 5 2026 rates. n/v: not verified; n/d: not disclosed.

Kenya's refinancer shows the economics. KMRC had refinanced KSh11.8bn for 3,501 borrowers by July 2024, at fixed rates of 7 to 9.9%. In May 2026 it paid 12.2% for eight-year money, 345 basis points over today's 8.75% Central Bank Rate and 180 over Safaricom's 10.4% bond of November 2025. Single-digit lending on that funding needs concessional or tax-advantaged money. KMRC's cumulative refinancing equals about 4% of a bank mortgage book of KSh307.2bn.

CRRH-UEMOA, now trading as AFINHAB, has the cleanest structure: XOF60bn for 15 years at 6% net of tax in 2025, against a BCEAO marginal lending rate of 5% and inflation of 1.2% in August 2026, according to Trading Economics. In 2017 IFC committed up to XOF10bn to its bonds, with IDA's local currency facility as swap counterparty.

Nigeria's NMRC had refinanced N33bn of mortgages by December 2024, about US$25m today. InfraCredit, a Nigerian guarantor, reports N416bn of domestic capital mobilised, with 20 pension funds taking part and tenors up to 20 years; housing qualifies as social infrastructure.

Development finance institutions work best here as enablers. GuarantCo guaranteed 50% of Acorn's KES4.3bn green notes for Nairobi student housing in 2019. Shelter Afrique issued N46bn of naira notes in 2022, but its East African shilling bond, first announced in December 2022 according to Kenyan Wall Street, is slated for early 2027.

12.2%
KMRC's cost of eight-year funding in May 2026, against borrower rates of 7 to 9.9%

c.4%
KMRC's cumulative refinancing as a share of Kenya's bank mortgage book

N416bn
domestic capital mobilised by InfraCredit, with 20 pension funds

WHO CAN BORROW

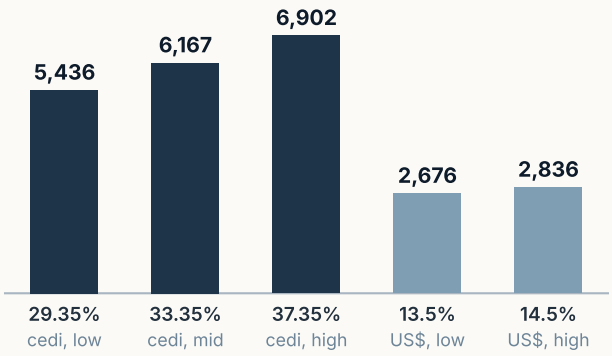
Currency and subsidy decide who can borrow: Ghana and Egypt

EXHIBIT 20

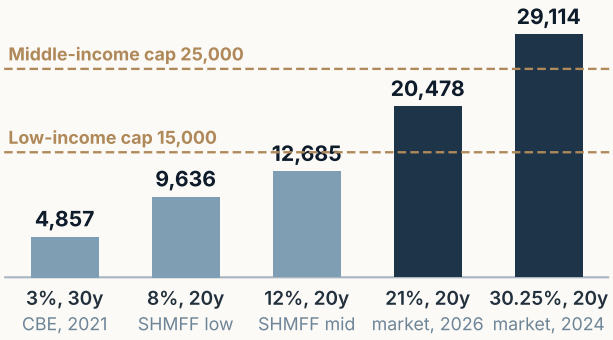
In Ghana the cedi payment was 2.2 times the dollar payment; in Egypt the state fund's 8% and 12% loans bring the cheapest new house within both income caps

Left: monthly payment on Ghana's cheapest new house (GH¢277,000), 80% loan over 20 years at July 2024 rates, GH¢. Right: gross monthly income needed for Egypt's cheapest new house (EGP432,000, 2023 price), 80% loan, payment at 30% of income, EGP

Ghana: monthly payment, GH¢



Egypt: monthly income needed, EGP



Source: CAHF Yearbook 2024, Ghana and Egypt profiles; Egypt Real Estate portal (22 Oct 2024); Amwal Al Ghad (Mar 2021); Trading Economics (CBE rate, Sep 2026). **Heirstone analysis:** annuity with monthly compounding; 80% loan and 30% payment-to-income are assumptions. Egypt market rate = policy rate + 2 points (CAHF convention): 28.25% in July 2024, 19% in September 2026. House prices are 2023-24 figures and have not been updated.

Ghana has no mortgage refinancer, and in July 2024 cedi mortgages were priced at the Ghana Reference Rate plus 8%, or 29.35 to 37.35%. On the cheapest new house that meant about GH¢6,170 a month at the midpoint, 2.2 times the GH¢2,760 on a dollar mortgage at 14%. The dollar borrower carries the currency risk instead. Ghana now has a 14% policy rate and 5.0% inflation, a real rate of about 9 points, which gives room for cedi mortgage pricing to fall if lenders can find long cedi funding.

In Egypt the state leads housing finance through the Social Housing and Mortgage Finance Fund, whose terms from October 2024, 8% for low incomes and 12% for middle incomes, replaced the central bank's 3% initiative of 2021. At 8% the cheapest new house needs about EGP9,600 of monthly income. With the policy rate cut to 19% by September 2026, according to Trading Economics, a market-priced loan on the 2023 price needs about EGP20,500, down from about EGP29,100 at July 2024's 28.25%.

Kenya illustrates the targeting problem. The average Kenyan mortgage, KSh9.4m in 2023, is almost ten times the price of the cheapest formal new house, and non-performing loans were 14.4% of the mortgage book. Morocco is moving from guarantees to grants: the state-guaranteed loan stock fell 2.7% to about MAD40bn in 2025, while direct aid of MAD100,000 now covers 40% of the MAD250,000 cheapest new home.

2.2x

cedi against dollar mortgage payment on Ghana's cheapest new house, July 2024

EGP9,600

monthly income needed for Egypt's cheapest new house at the state fund's 8% rate, below the EGP15,000 cap

40%

share of Morocco's cheapest new home covered by the MAD100,000 direct aid

CHAPTER 6

06

North Africa and Sub-Saharan Africa

The scorecard applies the evidence of chapters 1 to 5 market by market. It scores what can be measured today and leaves blank what we could not verify, so a low score can reflect missing data as well as a missing market.

Deep pools score well only where the currency and the vehicles are there too. Nigeria has the largest pool outside South Africa and Morocco, and scores 5 of 12.

EXHIBIT 21

The Heirstone Local Capital Readiness Scorecard: South Africa and Morocco lead the fully scored markets, followed by Kenya

Four dimensions scored 0 to 3 from the data in this report; n/v = not verified, excluded from the maximum; filled circles show the score

MARKET	CURRENCY, US$ VALUE SINCE 2015	POOL, US$BN	PROPERTY VEHICLES	MORTGAGES AND REFINANCE	SCORE	FUNDING STANCE (EXHIBIT 7)
South Africa	●●● -5.1%	●●● 219.5	●●● raising near NAV	●●● 17.6%	12 / 12	Local markets can lead
Morocco	●●● +2.1%	●●● 58.8	●●● OPCI +85%	●○○ 3.95% (c.16% BAM)	10 / 12	Tenor is the constraint
Namibia	●●● rand par	●●○ 18.1	n/v	●●● 19.7%	8 / 9	Local markets can lead
Kenya	●●○ -21.1%	●●● 21.7	●●○ five REITs	●●○ 1.86% + KMRC	9 / 12	Test each deal
Tunisia	●●○ -31.6%	n/v	n/v	●●○ 9.9%	4 / 6	Test each deal
Tanzania	●●○ -18.4%	●●○ 9.8	●○○ one, unlisted	●○○ 0.30% + TMRC	6 / 12	Test each deal
Uganda	●●○ -13.7%	●●○ 7.8	○○○ rules, none	○○○ 0.48%	4 / 12	Test each deal
Côte d'Ivoire	●●● +5.1%	●○○ 2.5	○○○ rules announced	●○○ 0.10% + CRRH	5 / 12	Tenor is the constraint
Senegal	●●● +5.1%	n/v	○○○ none	●●○ 1.54% + CRRH	5 / 9	Tenor is the constraint
Nigeria	○○○ -85.0%	●●● 23.9	●○○ two funds, 90%	●○○ 0.60% + NMRC	5 / 12	Local revenue, local debt
Ghana	●○○ -67.3%	●●○ 9.6	n/v	○○○ 0.81%	3 / 9	Local revenue, local debt
Rwanda	●○○ -48.8%	●○○ 2.6	○○○ rules, none	●○○ 3.30%	3 / 12	Local revenue, local debt
Egypt	○○○ -84.9%	●○○ 1.3, partial	●○○ digital REIF	●○○ 0.83% + EMRC	3 / 12	Local revenue, local debt
Ethiopia	○○○ -87.0%	n/v	n/v	○○○ 0.38%	0 / 6	Local revenue, local debt

Currency: 3 = within 10% of its Dec 2015 US$ value or stronger; 2 = lost 10 to 35%; 1 = 35 to 70%; 0 = over 70%. **Pool:** 3 = US$20bn or more; 2 = US$5 to 20bn; 1 = US$1 to 5bn; 0 = under US$1bn. **Property vehicles:** 3 = raising new equity near NAV; 2 = several vehicles, some at or above NAV; 1 = vehicles exist but concentrated, unlisted, discounted or very small; 0 = rules without an operating listed vehicle. **Mortgages:** 3 = 15% of GDP or more; 2 = 5 to 15%, or 1.5 to 5% with an issuing refinancer; 1 = 1.5 to 5% without one, or under 1.5% with one; 0 = under 1.5% without one.

Source: Heirstone Local Capital Readiness Scorecard 2026, from Exhibits 1, 8, 9, 16, 17, 18 and 19 and the sources listed there. Morocco scores 12 of 12 if Bank Al-Maghrib's housing-loan stock is used instead of CAHF's. Egypt's pool score is a floor: its measured US$1.3bn excludes NOSI reserves. Stance groups follow the currency score and the Dollar Debt Test.

Currency sets the stance

Every market whose currency lost more than a third of its dollar value since 2015 lands in the local-revenue group, whatever the size of its pool.

Vehicles are the weakest link

Only South Africa and Morocco score 3 on property vehicles. Seven markets score 0 or 1, and four could not be verified.

Morocco is the swing case

On Bank Al-Maghrib's housing-loan data Morocco would score 12 of 12, level with South Africa; on CAHF's it scores 10.

NORTH AFRICA

Egypt and Morocco: two routes to local housing capital

Egypt

Egypt floated the pound in March 2024, weeks after the US$35bn Ras El Hekma agreement with ADQ. Dollar inflows have risen since: net foreign direct investment reached US$46.58bn in 2024 on World Bank data, and remittances a record US$36.5bn in fiscal 2024/25. One ownership route is tied to the dollar: Decision 3562/2023 lifts the cap on the number of units foreigners may own in projects under state authorities such as NUCA when they pay in dollars transferred from abroad.

Egypt's local-currency housing capital is led by the state. The Social Housing and Mortgage Finance Fund, supported by US$1bn of World Bank financing, had facilitated 583,008 subsidised mortgages by June 2024; FRA-supervised mortgage companies had granted 48,721 by December 2023. Private capital is following in securitised form: EMRC's EGP472m securitisation in 2023, rated AA+ to A and the first by an Egyptian refinance company, and an EGP443m securitisation of Ijarah lease-to-own loans by Nawy and Synergy Capital in 2025, the first of its kind in Egypt, according to LaunchBase Africa.

For Egypt, dollar debt makes sense against dollar income: the foreign-buyer channel and the Housing Ministry's dollar-priced Beit al-Watan offers to Egyptians abroad. Local capital is arriving through securitised mortgages, FRA-supervised lenders (EGP29.4bn of real estate finance in January to September 2025) and the new digital funds.

Morocco

Morocco has North Africa's most stable currency on our measure and its deepest property fund market. Banks lent for housing at an average 4.68% in 2025, initial terms averaged 21.2 years in 2023, and inflation averaged 0.3% in the first eight months of 2026, according to Trading Economics. The state borrowed in euros for 12 years at 5.289% in May 2026. Insurers hold 6.8% of their MAD256.3bn of investments in real estate, and OPCI funds hold MAD106.9bn.

For Morocco, the constraint is access: 93% of OPCI assets sat in light-rule vehicles for qualified investors at end-2023, and the listed market is small. Pension schemes now paying out more than they collect need income assets, and a wider OPCI market could supply them.

Tunisia and Algeria

Tunisia has a mid-depth mortgage market, 9.9% of GDP in 2022, with market rates of 11 to 12%, 25-year maximum terms and a 20% minimum deposit; the dinar lost 31.6% against the dollar from 2015. Its TND200m first-home programme reached 2,800 of 6,000 targeted families. Algeria's recorded mortgage stock is US$31.7m, 0.02% of GDP in 2019, according to CAHF, a figure we could not check; state programmes dominate. We found too little published data on Libya to include it.

583,008

subsidised mortgages facilitated by Egypt's social housing fund by June 2024

US$36.5bn

remittances from Egyptians abroad in fiscal 2024/25, a record (Central Bank of Egypt)

4.68%

average Moroccan bank housing loan rate, 2025

1,817

buildings held by Moroccan OPCI funds, June 2025

2,800

of 6,000 targeted families reached by Tunisia's first-home programme

WEST AFRICA

West Africa holds three currency regimes, and each needs a different instrument

Nigeria

On the data in this report, Nigeria has the largest pension pool in Sub-Saharan Africa outside South Africa, N31.80trn (US$23.9bn) in August 2026, and the weakest currency record among the large markets. The naira lost 85% of its dollar value from 2015, yet the bond market prices in only 8.0% a year of further depreciation. Retirement savings funds may no longer hold property directly; they can hold REITs and collective funds up to 20 to 25% of assets, and hold 1.03%.

For Nigeria, the instruments that fit the rules are naira REITs and guaranteed naira bonds. InfraCredit's model, with 20 pension funds and tenors up to 20 years, already reaches the infrastructure bucket, and housing qualifies. Dollar rents in Lagos have been challenged in a legal-tender suit filed in 2023.

Ghana

Ghana's pensions grew 28.9% in 2025 to GH¢111.1bn (US$9.6bn) and moved out of government paper after the debt exchange, into bank securities and shares; property took almost none of it. The cedi lost 67% of its dollar value between 2015 and September 2026, despite a 50% rise in the second quarter of 2025. With a 14% policy rate and 5% inflation, real rates are now high. Ghana bans dollar pricing, yet has no mortgage refinancer and no property vehicle we could verify.

For Ghana, a cedi refinancer funded partly from pension funds' 25% alternatives allowance could help close the gap between the ban on dollar pricing and the absence of long cedi loans.

Côte d'Ivoire, Senegal and francophone West Africa

The CFA franc's euro peg leaves tenor as the constraint. CRRH-UEMOA's 15-year bond at 6% net of tax is the region's benchmark housing asset, and Senegal's 2025 diaspora savings bonds offered 6.4 to 6.95% for three to ten years from FCFA10,000. Mortgage markets remain tiny: 696 loans in Côte d'Ivoire, where posted bank rates of 6.99 to 7.99% compare with a typical 10%, and 1.54% of GDP in Senegal. The CNPS portfolio in Côte d'Ivoire grew from FCFA156bn in 2014 to FCFA1,438bn in 2024. The regional market regulator announced an OPCI framework for 2024, according to Droit Médias Finance; no vehicle is listed on the BRVM.

For WAEMU, the next step is a listed OPCI regime that social security funds such as the CNPS can use, alongside more refinancer issues of the 2025 type. We did not find comparable data for CEMAC markets such as Cameroon, or for the DRC.

1.03%

of Nigerian pension assets in REITs and collective funds, against a 20 to 25% limit

+50%

rise in the US$ value of the cedi in the second quarter of 2025

6%

net-of-tax coupon on CRRH-UEMOA's 15-year XOF social bond, 2025

FCFA1,438bn

CNPS Côte d'Ivoire portfolio in 2024, from FCFA156bn in 2014

EAST AND SOUTHERN AFRICA

East Africa's state funds build for themselves; Southern Africa's capital already funds its own property

Kenya

Kenya is the market where the Dollar Debt Test is closest. Its bond market prices in 2.9 to 4.5% a year of depreciation against 2.2% realised since 2015, and the shilling gained 21.5% against the dollar in 2024. Pension assets of KSh2.81trn (US$21.7bn) hold 8.6% in property and 0.5% in REITs against separate 30% limits, and a 364-day bill at 9.04% sets the bar. Kenya has five REITs, one of them trading above NAV, and an active refinancer.

For Kenya, the gap is price. Pension-sponsored REITs on the LAPTrust model and KMRC paper with tax relief are the instruments closest to clearing the government curve.

Tanzania, Uganda, Rwanda and Ethiopia

The Tanzanian and Ugandan shillings lost 14 to 18% of their dollar value from 2015 and the Rwandan franc 49%. Pools grew by more than 20% in the latest year in Tanzania and Uganda, and their state funds develop directly. Tanzania has had REIT rules since 2011 and one unlisted REIT, Watumishi Housing, founded at TZS68bn according to TanzaniaInvest; Uganda's rules have gone unused since 2017 and Rwanda's since 2025. Shelter Afrique plans a US$500m-equivalent housing bond across Kenya, Uganda, Tanzania and Rwanda for the first quarter of 2027.

Ethiopia moved to a market-determined birr in July 2024, when the IMF approved a US$3.4bn programme; its state bank lends for housing at 9.5% over 20 years, against a 16% policy rate in July 2026, according to Trading Economics.

South Africa, Namibia and Botswana

South Africa operates at another scale. The PIC manages R3.657trn (US$219.5bn), yet its unlisted property book was R54bn at December 2024, under 2% of assets, and its Isibaya developmental portfolio had invested R75bn. Mortgages equal 17.6% of GDP across 1.67 million loans, prime is 10.75% and the 2036 government bond yields 8.96%. Namibian retirement funds hold N$301.7bn (US$18.1bn), 50.3% domestically against a 45% minimum. According to Pow Rocket Press, Botswana's P158.2bn of retirement assets must reach 50% domestic by 2027, from 30% when the phase-in began. Funds already held 45% domestically by mid-2025, so the last step implies about P7.9bn (US$0.57bn) of extra domestic demand at current asset levels.

For Southern Africa, local capital already funds local property. The question is whether it also funds the region: Growthpoint holds 35.8% of its assets offshore, and Letlole La Rona trades about 22% below NAV.

21.5%

rise in the US$ value of the Kenyan shilling during 2024

TZS68bn

founding size of Watumishi Housing REIT, Tanzania's only REIT

R54bn

PIC unlisted property, December 2024, under 2% of assets

P7.9bn

extra domestic demand implied by the last step to Botswana's 50% floor (US$0.57bn)

CHAPTER 7

07 What to do

The capital exists. The task for each group below is to create, or allow institutions to hold, the instruments that move it into property at a price that competes with government paper.

FOR

Governments, regulators and pension authorities

Publish property and fund allocations against limits, monthly where possible. PenCom's monthly summary is the model; most regulators in this report publish once a year.

Let rated refinancer bonds and guaranteed housing bonds count inside the infrastructure and housing buckets, with the tax treatment CRRH-UEMOA's 2025 social bond received.

Fix tax leakage before writing new rules. Kenya has charged stamp duty on transfers into REITs since 2023; Tanzania, Uganda and Rwanda have rules but no listed vehicle.

Where dollar pricing is banned, as in Ghana, pair the ban with a source of long local funding.

FOR

Pension funds, insurers and asset managers

Set the property hurdle against the full sovereign curve and a full currency cycle; a one-year bill rate such as Kenya's 9.04% is the wrong benchmark for a 20-year asset.

Seed and sponsor vehicles in preference to developing directly. LAPTrust's Imara I-REIT is a working template; the stalled Dege Eco Village shows the execution risk of building directly.

Use domestic-asset floors in Botswana (rising to 50% by 2027) and Namibia (45%) to anchor local listed property.

FOR

Developers and owners

Run the Dollar Debt Test before signing any facility. Where a currency has moved in large steps, borrow dollars only against dollar income.

Build to an institutional specification: single owner, leased, audited and valued by appraisers the regulator recognises.

Plan the exit into local funds: Moroccan OPCI, Kenyan I-REITs, South African REITs raising near NAV.

FOR

DFIs and banks

Spend scarce hard-currency capital on guarantees and swaps that bring local institutions in, as GuarantCo did for Acorn and IDA did for CRRH-UEMOA.

Fund refinancers where none exists. Ghana and Uganda have neither a refinancer nor a meaningful mortgage market.

Shorten the route to market: Shelter Afrique's East African bond, first announced in 2022, is now planned for 2027.

FOR

Corporates occupying property

Treat lease currency as a treasury decision. A tenant earning shillings in a dollar-priced Nairobi office carries the currency risk.

Consider selling owner-occupied branches, depots and campuses to local funds on long leases; Aradei's OPCI of 100 bank branches shows the structure.

Remember that the group pension fund is part of the local pool and can sponsor a vehicle.

THE SHELF TO BUILD

Seven local-currency instruments already work somewhere in Africa

Each instrument below has been issued or operated on the continent in local currency. None is new. What differs between markets is how many of them exist, and whether regulators let institutions count them where they need to.

INSTRUMENT	WORKING EXAMPLE IN THIS REPORT	NATURAL BUYER	WHAT IT NEEDS
Refinancer bonds	CRRH-UEMOA's XOF60bn 15-year social bond at 6% net of tax; KMRC's KSh3bn green bond at 12.2%.	Pension funds and insurers	Tax exemption and eligibility within pension housing limits
Guaranteed housing and infrastructure bonds	InfraCredit: N416bn mobilised, 20 pension funds, tenors up to 20 years; GuarantCo's 50% guarantee on Acorn's KES4.3bn notes.	Pension funds	Guarantee capacity and a rating
Sponsor-seeded REITs	LAPTrust Imara I-REIT (2023), seeded by a pension fund and priced at NAV until March 2026; the state-linked Watumishi Housing REIT in Tanzania, still unlisted.	The sponsor first, then other funds	A path to listing and liquidity
Institutional property funds	Moroccan OPCI: MAD106.9bn, 1,817 buildings, 98% occupancy; Nigeria's MOFI fund, N269.85bn.	Insurers, pension and social security funds	Disclosure of holders and independent valuation
Sale-and-leaseback of occupier property	Education buildings are 44.5% of diversified OPCI portfolios; Aradei holds an OPCI of 100 bank branches.	Funds and REITs	Long leases from creditworthy occupiers
Securitised mortgages and lease-to-own loans	EMRC's EGP472m securitisation rated AA+ to A (2023); Nawy's EGP443m Ijarah securitisation (2025).	Banks and insurers	Standard loan data and servicing
Local-currency savings bonds	Senegal's 2025 diaspora bonds: 6.4 to 6.95% for three to ten years, from FCFA10,000.	Diaspora and retail savers	Distribution; a housing use of proceeds

Source: AllAfrica and Sika Finance (2025); The Standard (2026); InfraCredit (2026); PIDG (2019); Business Daily Africa (2023); Clyde & Co (2025); AMMC via Boursenews (2026); Nairametrics (2026); Aradei Capital; EFG Hermes (2023); LaunchBase Africa (2025); Le Soleil (2025).

How Heirstone works on real estate capital

We help landowners, developers, investors and public bodies across the Middle East and Africa decide what to build and how to fund it: market and demand studies, highest-and-best-use analysis, feasibility and business models (DCF, IRR, NPV and Monte Carlo testing), capital-structure and currency analysis of the kind in this report, and investment cases for funds, REITs and refinancing vehicles.

The Local Capital Map, the Dollar Debt Test and the Readiness Scorecard are updated as regulators publish. We welcome corrections and additional data from the institutions covered.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

Local institutional pool: assets of pension, social security and insurance institutions as published by regulators or the institutions. **Headroom:** regulatory limit minus actual allocation, multiplied by assets; a ceiling, not a forecast. **Principal multiple:** local currency per US$ at the end date divided by the rate at the start date. **Priced-in depreciation:** (1 + local rate) / (1 + hard-currency rate) - 1. **Realised depreciation:** annualised rise in local currency per US$. **NAV:** net asset value. **OPCI:** organisme de placement collectif immobilier, Morocco's real estate fund vehicle. **I-REIT and D-REIT:** Kenyan income and development REITs. **Refinancer:** a company that lends long-term funds to mortgage lenders. **n/v:** not verified; **n/d:** not disclosed.

Method

Figures are as published by the sources listed, in the currency and period stated. Local-currency stocks are converted at market rates of 2026 (ExchangeRate-API), except Nigerian pension data at PenCom's own N1,332.44 and CAHF figures at CAHF's 1 July 2024 rates. Conversions of 2024 and 2025 stocks at 2026 rates are indicative where currencies have moved. Comparisons over time use US Treasury reporting rates, which can differ from central bank rates by a few percent. Policy rates and inflation for most countries are from Trading Economics and are attributed in the text; Kenya, Ghana and South Africa are from central bank sites. Ghana's break-even uses CAHF's July 2024 mortgage rates because no long-dated cedi bond yield was available after the 2023 debt exchange. Where sources conflict, as on Morocco's mortgage stock and the size of African REIT markets, we show both or use the more conservative figure. Derived figures are labelled Heirstone analysis.

Use of this report

This report is published for general information. It is not investment, legal, tax or valuation advice and should not be relied on as such. It uses public information only. Images are illustrative.

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1 THE PRICE OF A DOLLAR

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3 PERMISSION WITHOUT PRODUCT

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4 PROPERTY FUNDS AND REITS

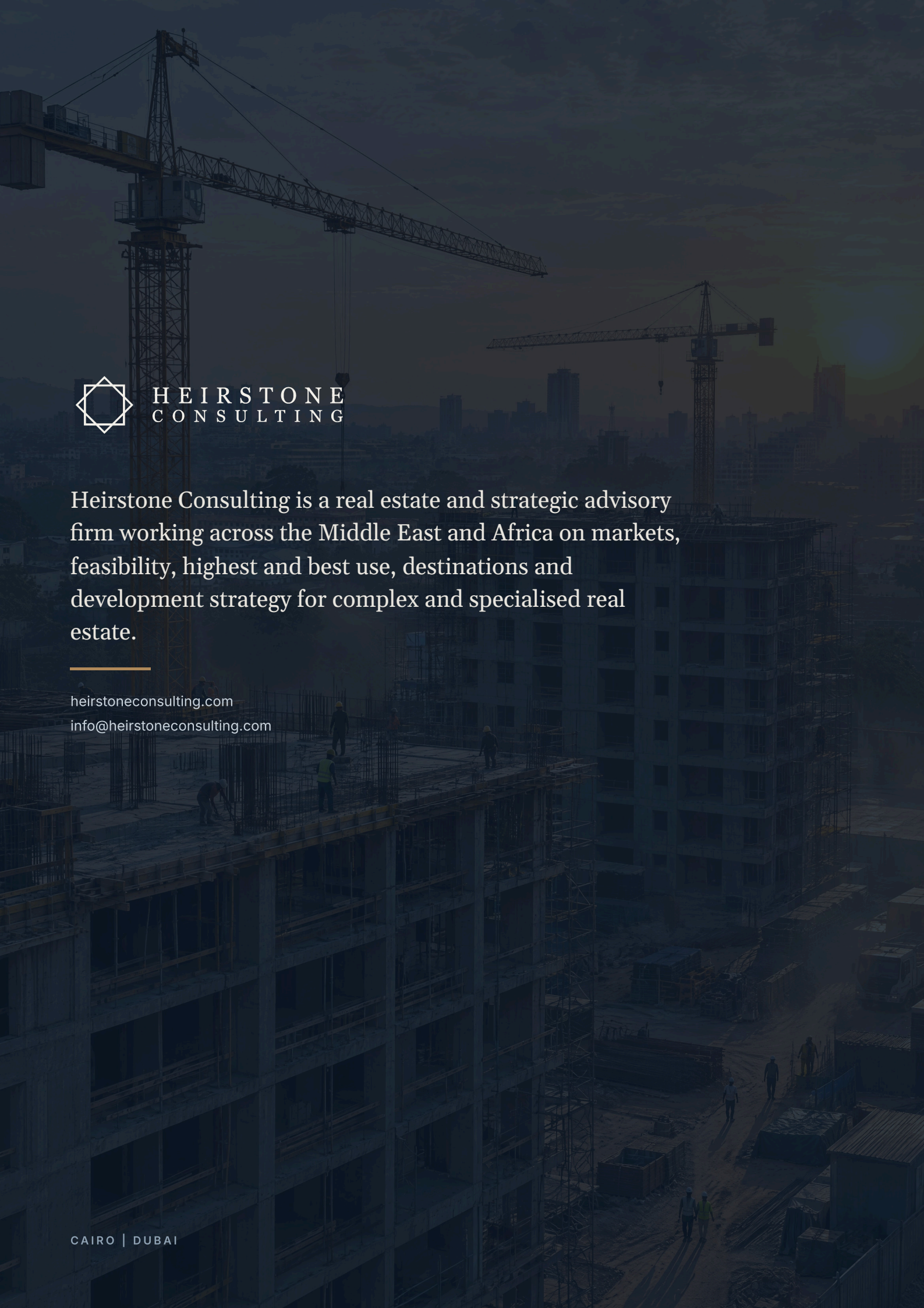
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6 REGIONAL AND SCORECARD

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